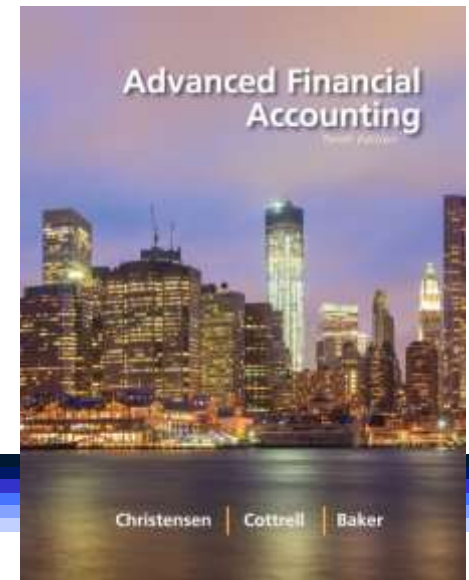


Chapter 3



The Reporting Entity and the Consolidation of Less-than-Wholly-Owned Subsidiaries with No Differential



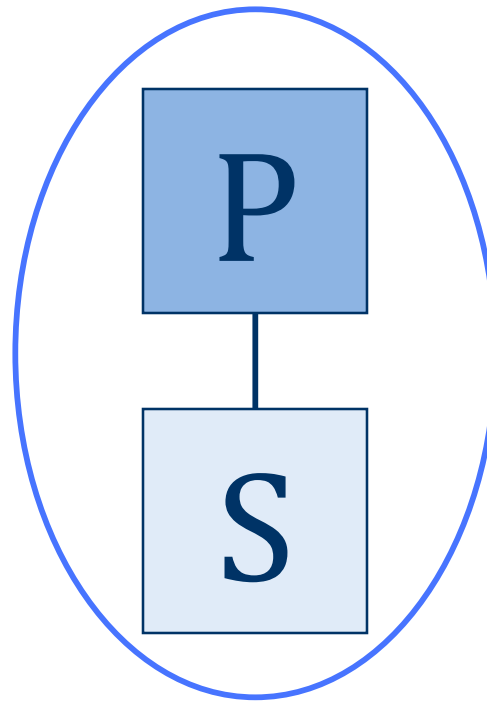
Learning Objective 3-1

Understand and explain the usefulness and limitations of consolidated financial statements.



Consolidation: *The Concept*

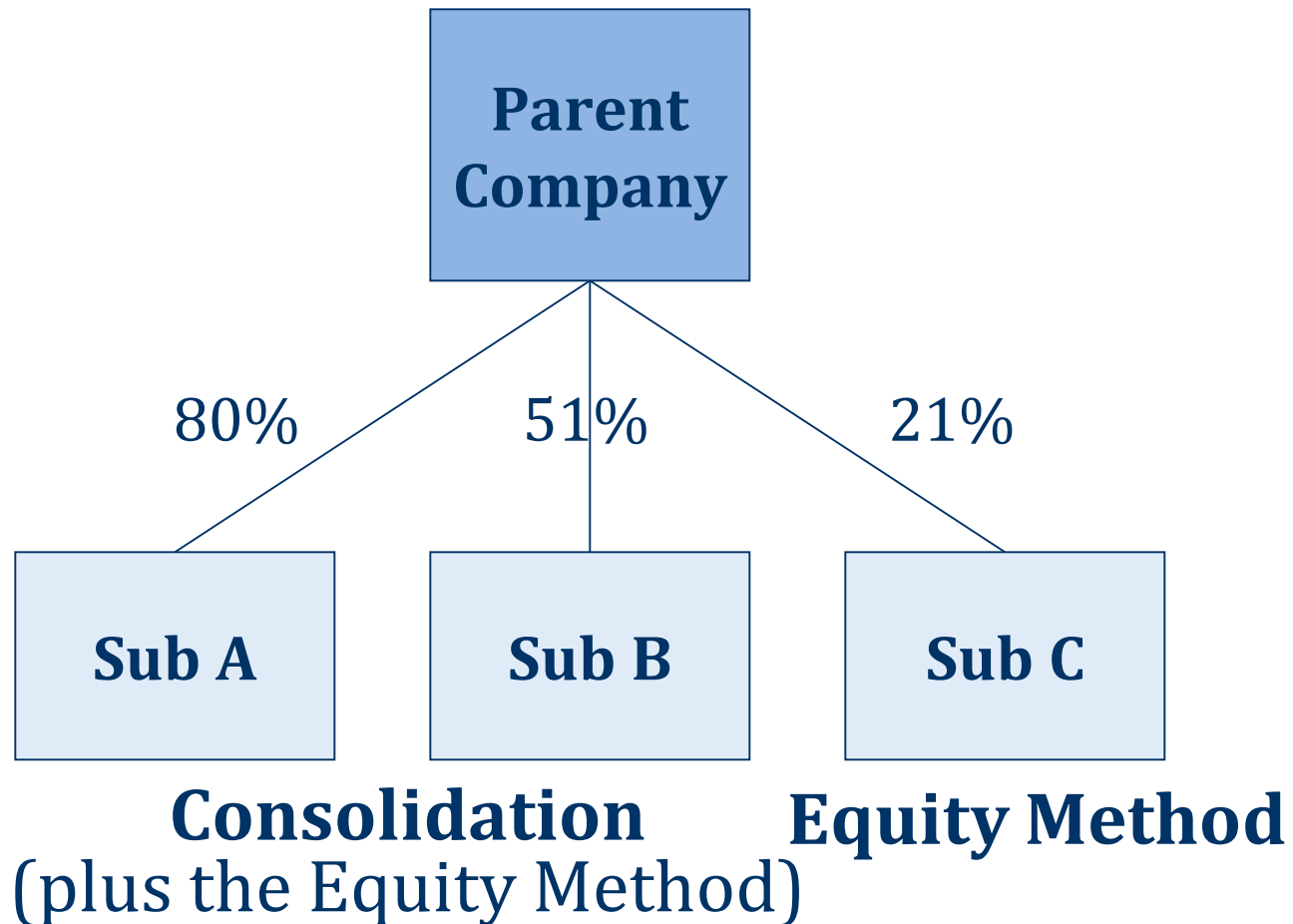
- ◆ Parent creates or gains control of the subsidiary.
- ◆ The result: a single reporting entity.





Review

How do we report the results of subsidiaries?

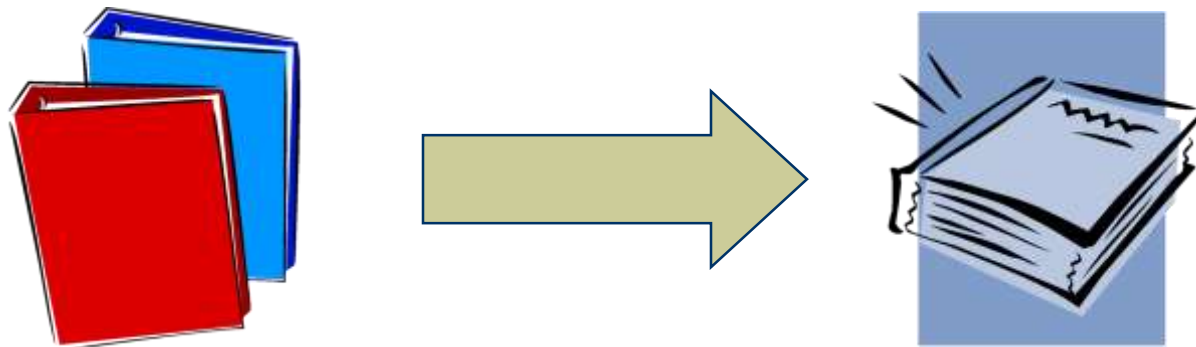




Consolidated Financial Statements

Consolidated financial statements present the financial position and results of operations for

- a parent (controlling entity) and
- one or more subsidiaries (controlled entities)
- as if the individual entities actually were a single company or entity.





Benefits of Consolidated Financial Statements

- ◆ Presented primarily for those parties having a long-run interest in the parent company:
 - shareholders,
 - long-term creditors, or
 - other resource providers.
- ◆ Provide a means of obtaining a clear picture of the total resources of the combined entity that are under the parent's control.



Limitations of Consolidated Financial Statements

- ◆ Results of individual companies not disclosed (hides poor performance).
- ◆ Financial ratios are not necessarily representative of any single company in the consolidation.
- ◆ Similar accounts of different companies may not be entirely comparable.
- ◆ Information is lost any time data sets are aggregated.



Subsidiary Financial Statements

- ◆ Creditors, preferred stockholders, and noncontrolling common stockholders of subsidiaries are most interested in the separate financial statements of the subsidiaries in which they have an interest.
- ◆ Because subsidiaries are legally separate from their parents,
 - the creditors and stockholders of a subsidiary generally have no claim on the parent, and
 - the stockholders of the subsidiary do not share in the profits of the parent.



Consolidated Financial Statements – Exception (Overview)

- ◆ An investment entity does not consolidate its subsidiaries and does not apply IFRS 3 (PSAK 22) Business Combinations when it obtains control of an entity.
 - Instead, an investment entity is required to measure subsidiaries **at fair value through profit or loss** in accordance with IFRS 9 (PSAK 55)



Consolidated Financial Statements – Exception (Overview)

- ◆ An investment entity is an entity that:
 - Obtains funds from one or more investors for the purpose of providing those investor(s) with professional investment management services;
 - Commits to its investor(s) that its business purpose is to invest funds solely for returns from capital appreciation, investment income or both; and
 - Measures and evaluates the performance of substantially all of its investments on a fair value basis



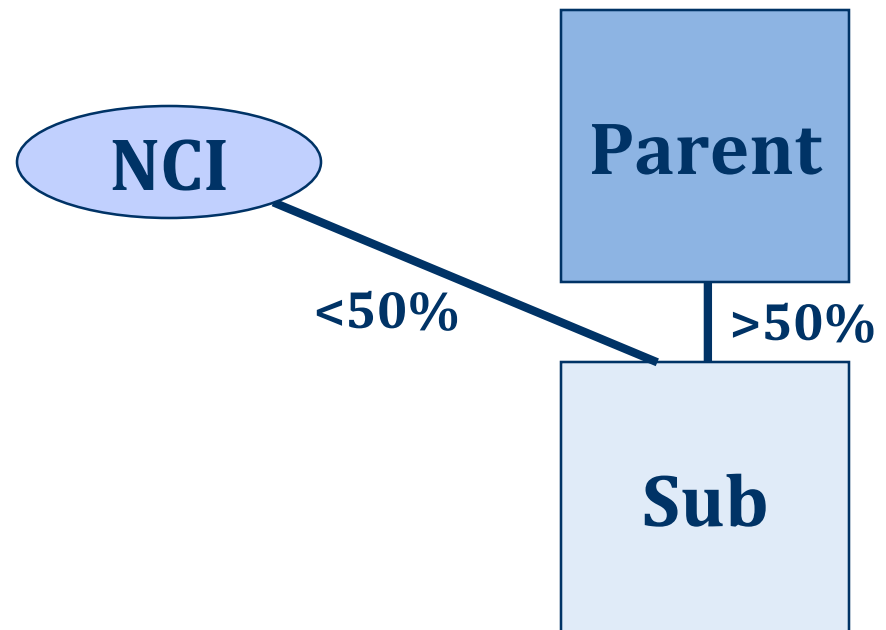
Learning Objective 3-3

Understand and explain differences in the consolidation process when the subsidiary is not wholly owned.



Noncontrolling Interest

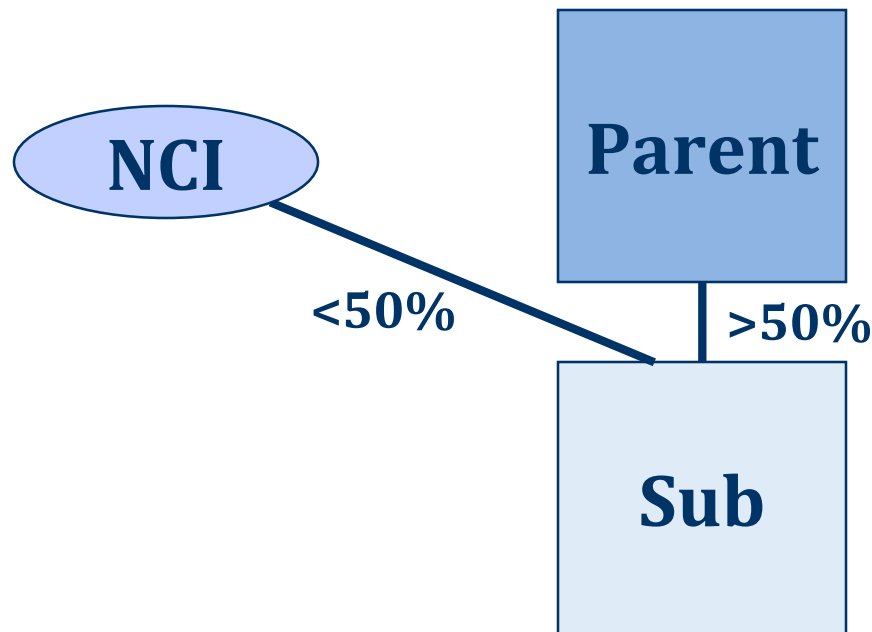
- ◆ Shareholders of the subsidiary other than the parent are referred to as “noncontrolling” shareholders.
- ◆ **Noncontrolling interest** refers to the claim of these shareholders on the income and net assets of the subsidiary.





Noncontrolling Interest (NCI)

- ◆ **What is a noncontrolling interest (NCI)?**
 - Voting shares not owned by the parent company



Two Issues:

- (1) Should 100% of the financial statements be consolidated?
- (2) Where to report NCI in the financial statements?



Issue 1: Should 100% be Consolidated?

- ◆ Full consolidation is required
- ◆ This means two special accounts appear in consolidated statements:
 - NCI in Net Income of Sub
 - Like an “expense” in the consolidated income statement
 - “Reported income that doesn’t belong to us.”
 - NCI in Net Assets of Sub
 - Equity of unrelated owners
 - “Net assets on our balance sheet not belonging to us.”



Non-controlling Interest

Statement of Financial Position

Assets		Liabilities	
Current Assets	A	Current Liabilities	
Fixed Assets	B	Non-current liabilities	
Non-current assets	C	Total Liabilities	X
		Equity	
		Share Capital	P
		Share Premium	Q
		Retained Earnings	R
		Equity attributable to Parent	Y=P+Q+R
		Non-controlling Interest	Z
Total Assets	<u>A+B+C</u>	Total Liabilities and Equity	<u>X+Y+Z</u>



Noncontrolling Interest

◆ Computation of income to the noncontrolling interest

- In uncomplicated situations, it is a simple proportionate share of the subsidiary's net income.

◆ Presentation

- the term “consolidated net income” be applied to the income available to all stockholders,
- with the allocation of that income between the controlling and noncontrolling stockholders shown.



Non-Controlling Interest

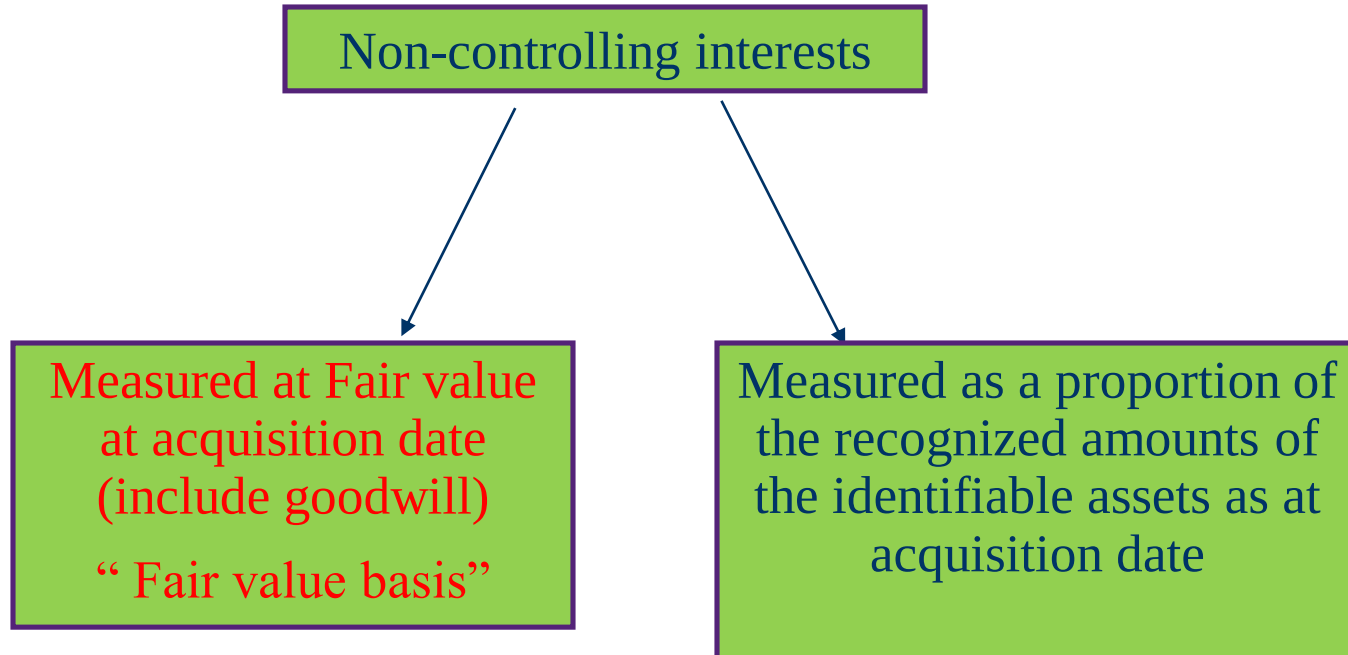
Profit or Loss Statement

Revenues	
COGS	
Gross Margin	
Operating Expenses	
Operating Income	
Interest income/(expenses)	
Share of results of associated companies	
Profit Before Tax	
Income Tax	
Profit for the Year	Z
Shareholders of the Company	X
Non controlling Interest	Y
	$X+Y=Z$



Noncontrolling Interest

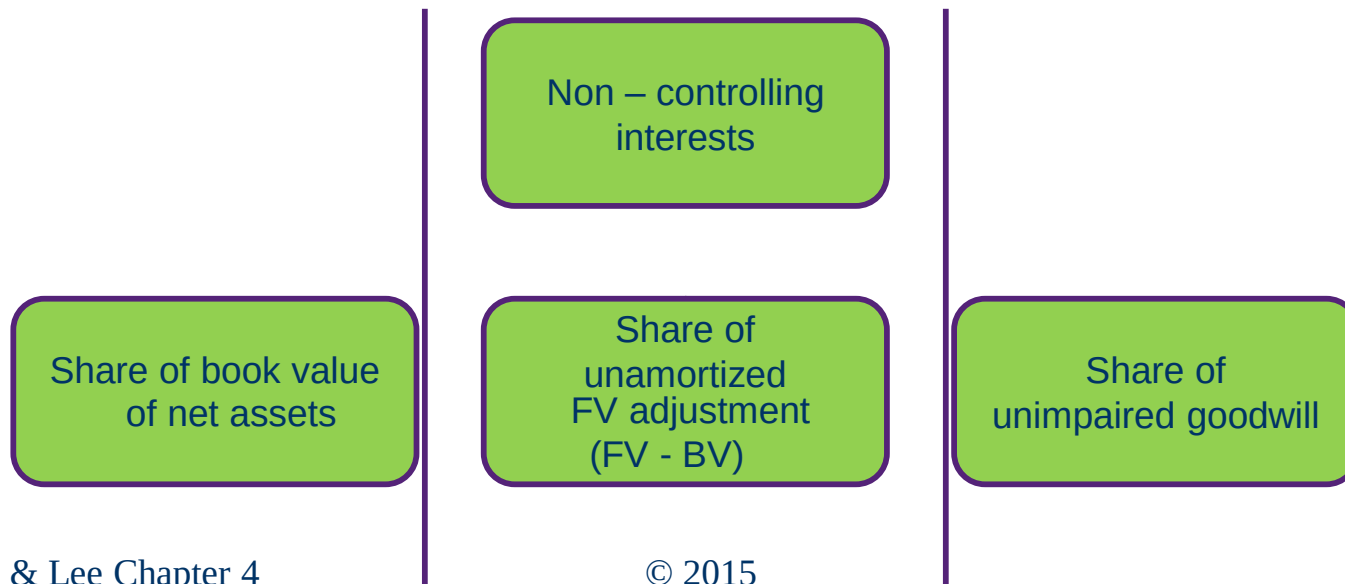
PSAK 22 par 19 (IFRS 3) allows NCI to be measured in either of two ways





Noncontrolling Interest

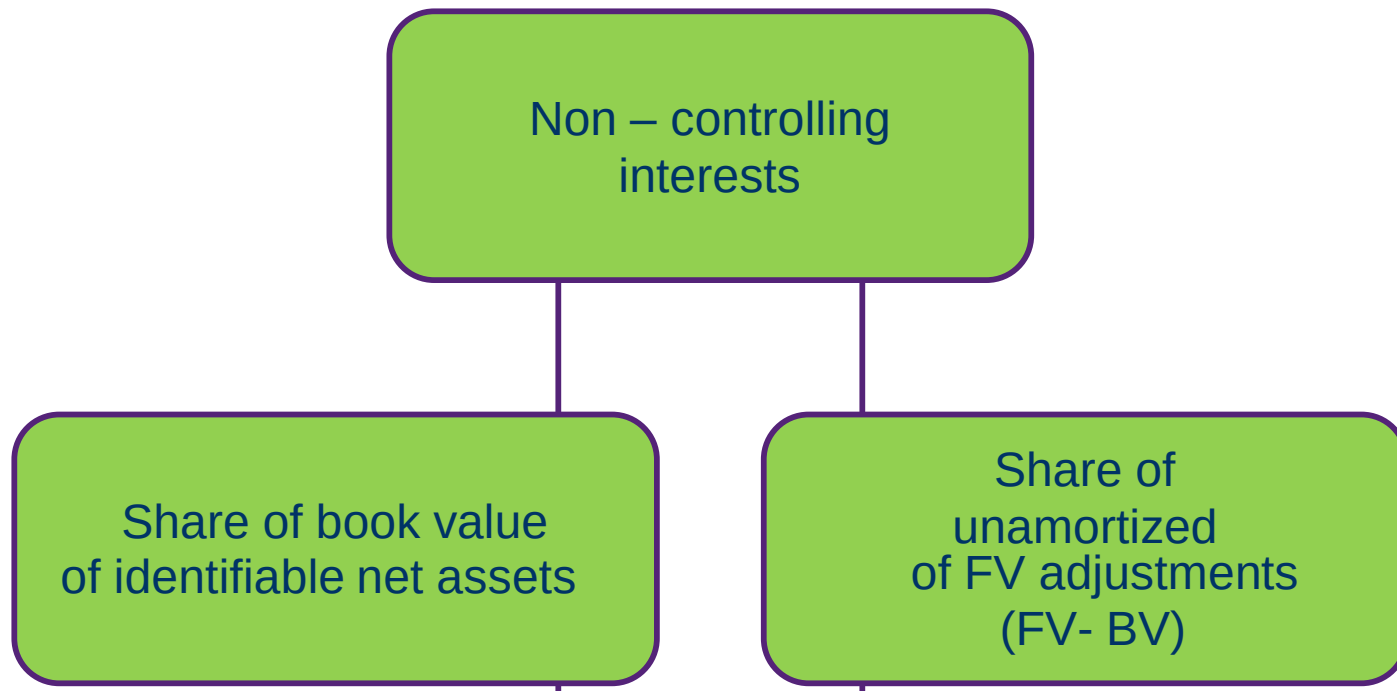
- Under the fair value basis:
 - FV is determined by either the active market prices of subsidiary's equity share at acquisition date or other valuation techniques
 - FV per share of NCI may differ from parent because of control premium paid by parent (e.g. 20% premium over market price to gain control)
 - NCI comprises of 3 items:





Noncontrolling Interest

- Under the 2nd option:
 - NCI is a proportion of the acquiree's identifiable net assets (i.e. not full fair value)
 - NCI comprises of 2 items:





Noncontrolling Interest

	NCI measured at FV	NCI measured as a proportion of the acquiree's identifiable net assets
Book value of net assets		
Fair value – Book value of net assets		
Goodwill		



Noncontrolling Interest

The FV of NCI that owned 10% of Subsidiary A as at 31 Dec 20x1 (Acquisition date) was \$25,000. The financial statements of Subsidiary A as at acquisition date are as shown below. Subsidiary A had unrecognized intangible assets with fair value of \$40,000. Tax rate is 20%. Determine NCI's good will as at acquisition date.

Subsidiary A's Statement of Financial Position as at 31 December 20x1:

Net assets	160,000
Equity	140,000
Share Capital	20,000
Retained Earnings	160,000



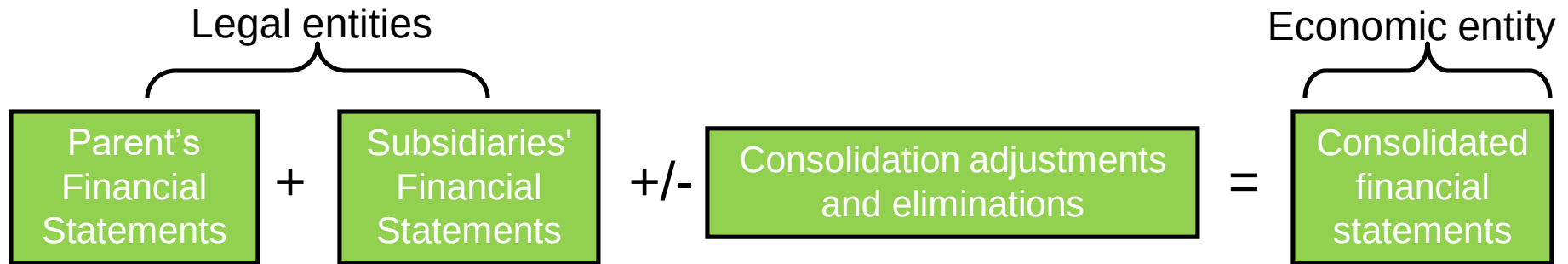
Noncontrolling Interest

Fair value of NCI		25,000
Fair value of identifiable net assets		
Book value of equity	160,000	
Fair value of intangible assets	40,000	
Deferred tax on intangible assets	(8,000)	192,000
NCI's share of FV of identifiable net assets (10%)		19,200
NCI's goodwill (25,000 - 19,200)		5,800

Under alternative basis where NCI are measured as a proportion of the recognized amounts of the identifiable assets as at acquisition date:

- ✓ NCI's goodwill is zero
- ✓ Amount to be recognized as NCI is \$19,200 only

Consolidation Process



- Consolidation is the process of preparing and presenting the financial statements of a group as an economic entity
- No ledgers for group entity
- Consolidation worksheets are prepared to:
 - Combine parent's and subsidiaries financial statements
 - Adjust or eliminate effects of intra-group transactions and balances
 - Allocate profit to non-controlling interests



Practice Quiz Question #6

The noncontrolling interest in a corporation can best be describe as

- a. a group of disinterested shareholders who rarely vote on company issues.
- b. all employees below the manager level.
- c. all shareholders other than the parent company.
- d. a group of investors who plan to sell their stock within the next twelve months .
- e. none of the above.



Practice Quiz Question #6 *Solution*

The noncontrolling interest in a corporation can best be describe as

- a. a group of disinterested shareholders who rarely vote on company issues.
- b. all employees below the manager level.
- c. all shareholders other than the parent company.**
- d. a group of investors who plan to sell their stock within the next twelve months .
- e. none of the above.



Learning Objective 3-4

Make calculations and prepare basic elimination entries for the consolidation of a less-than-wholly-owned subsidiary.



Summary of differences in consolidation

	Wholly Owned Subsidiary	Partially Owned Subsidiary	
Investment = Book Value	Chapter 2	Chapter 3	No Differential
Investment > Book Value	Chapter 4	Chapter 5	Differential
	No NCI Shareholders	NCI Shareholders	

Illustration of consolidated net income and consolidated retained earnings

Push Corporation acquires 80 percent of the stock of Shove Company for an amount equal to 80 percent of Shove's total book value. During 20X1, Shove reports net income of \$25,000, while Push reports net income of \$120,000, including equity-method income from Shove of \$20,000 ($\$25,000 \times .80$). Consolidated net income for 20X1 is computed and allocated as follows:

Push's net income	\$120,000
Less: Equity-method income from Shove	(20,000)
Shove's net income	25,000
Consolidated net income	<u>\$125,000</u>
Income attributable to noncontrolling interest	<u>(5,000)</u>
Income attributable to controlling interest	<u><u>\$120,000</u></u>

Illustration of consolidated net income and consolidated retained earnings

Net income and dividends during the two years following acquisition are:

	Push	Shove
Retained earnings, January 1, 20X1	\$400,000	\$250,000
Net income, 20X1	120,000	25,000
Dividends, 20X1	<u>(30,000)</u>	<u>(10,000)</u>
Retained earnings December 31, 20X1	\$490,000	\$265,000
Net income, 20X2	148,000	35,000
Dividends, 20X2	<u>(30,000)</u>	<u>(10,000)</u>
Retained earnings, December 31, 20X2	<u><u>\$608,000</u></u>	<u><u>\$290,000</u></u>

Consolidated retained earnings at December 31, 20X2, two years after the date of combination, is computed as follows, assuming no differential:

Push's retained earnings, December 31, 20X2	\$608,000
Equity accrual from Shove since acquisition ($\$25,000 + \$35,000$) x .80	<u>(48,000)</u>
Push's retained earnings from its own operations, December 31, 20X2	\$560,000
Push's share of Shove's net income since acquisition $\$60,000 \times .8$	<u>48,000</u>
Consolidated retained earnings, December 31, 20X2	<u><u>\$608,000</u></u>



Group Exercise 1: Basic Elimination Entry

The following information is given:

- 1) Photo acquires 70% of Snap for \$182,000 on Jan 1, 20X4
- 2) Snap's net income for 20X4 is \$160,000
- 3) Photo's net income for 20X4 from its own separate operations is \$500,000.
- 4) Snap's declares dividends of \$12,000 during 20X4.
- 5) Snap has 10,000 shares of \$4 par stock outstanding that were originally issued at \$14 per share.
- 6) Snap's beginning balance in Retained Earnings for 20X4 is \$120,000.

Book Value Calculations

	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings
NCI (30%)					
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000	\$120,000
+ Net Income					
- Dividends					
Ending Balance					



Group Exercise 1: Basic Elimination Entry

The following information is given:

- 1) Photo acquires 70% of Snap for \$182,000 on Jan 1, 20X4
- 2) Snap's net income for 20X4 is \$160,000
- 3) Photo's net income for 20X4 from its own separate operations is \$500,000.
- 4) Snap's declares dividends of \$12,000 during 20X4.
- 5) Snap has 10,000 shares of \$4 par stock outstanding that were originally issued at \$14 per share.
- 6) Snap's beginning balance in Retained Earnings for 20X4 is \$120,000.

Book Value Calculations

	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings
NCI (30%)					
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000	\$120,000
+ Net Income	48,000	112,000			160,000
- Dividends					
Ending Balance					



Group Exercise 1: Basic Elimination Entry

The following information is given:

- 1) Photo acquires 70% of Snap for \$182,000 on Jan 1, 20X4
- 2) Snap's net income for 20X4 is \$160,000
- 3) Photo's net income for 20X4 from its own separate operations is \$500,000.
- 4) Snap's declares dividends of \$12,000 during 20X4.
- 5) Snap has 10,000 shares of \$4 par stock outstanding that were originally issued at \$14 per share.
- 6) Snap's beginning balance in Retained Earnings for 20X4 is \$120,000.

Book Value Calculations

	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings
NCI (30%)					
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000	\$120,000
+ Net Income	48,000	112,000			160,000
- Dividends	(3,600)	(8,400)			(12,000)

Ending Balance



Group Exercise 1: Basic Elimination Entry

The following information is given:

- 1) Photo acquires 70% of Snap for \$182,000 on Jan 1, 20X4
- 2) Snap's net income for 20X4 is \$160,000
- 3) Photo's net income for 20X4 from its own separate operations is \$500,000.
- 4) Snap's declares dividends of \$12,000 during 20X4.
- 5) Snap has 10,000 shares of \$4 par stock outstanding that were originally issued at \$14 per share.
- 6) Snap's beginning balance in Retained Earnings for 20X4 is \$120,000.

Book Value Calculations

	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings
NCI (30%)					
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000	\$120,000
+ Net Income	48,000	112,000			160,000
- Dividends	(3,600)	(8,400)			(12,000)
Ending Balance	\$122,400	\$285,600	\$40,000	\$100,000	\$268,000



Group Exercise 1: Basic Elimination Entry

Book Value Calculations

NCI (30%)	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000	\$120,000
+ Net Income	48,000	112,000			160,000
Dividends (3,600)	(8,400)			(12,000)	
Ending Balance	\$122,400	\$285,600	\$40,000	\$100,000	\$268,000

Basic Elimination Entry

Investment in Snap		
Beg. Bal.	182,000	
70% NI	112,000	70% Div. 8,400
End. Bal.	285,600	

Common Stock
 Add PIC – CS
 Retained Earnings, BB
 Income from Snap
 NCI in Net Income
 Dividends Declared
 Investment in Snap
 NCI in Net Assets



Group Exercise 1: Basic Elimination Entry

Book Value Calculations

NCI (30%)	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings	
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000		
+ Net Income	48,000				Dividends	
(3,600)	(8,400)			(12,000)		
Ending Balance	\$122,400	\$600,000	\$40,000	\$100,000	\$263,000	

Basic Elimination Entry

Investment in Snap		
Beg. Bal.	182,000	
70% NI	112,000	70% Div. 8,400
End. Bal.	285,600	

Common Stock
 Add PIC – CS
 Retained Earnings, BB
 Income from Snap
 NCI in Net Income
 Dividends Declared
 Investment in Snap



Group Exercise 1: Basic Elimination Entry

Book Value Calculations

NCI (30%)	Investment Account	Common (70%)	Paid-in Stock	Additional Retained Capital	Earnings	
Beginning Balance	\$78,000	\$182,000	\$40,000	\$100,000		
+ Net Income	48,000					
Dividends (3,600)	(8,400)			(12,000)		
Ending Balance	\$122,400	\$268,000	\$40,000	\$100,000	268,000	

Basic Elimination Entry

Investment in Snap

Beg. Bal.	182,000	
70% NI	112,000	70% Div. 8,400
End. Bal.	285,600	

Common Stock 40,000
 Add PIC – CS 100,000
 Retained Earnings, BB 120,000
 Income from Snap 112,000
 NCI in Net Income 48,000
 Dividends Declared
 12,000
 Investment in Snap



Learning Objective 3-5

Prepare a consolidation worksheet for a less-than-wholly-owned consolidation.



Consolidation of < Wholly Owned Subs

- ◆ The worksheet is modified when the parent owns less than 100% of the subsidiary.
 - The total “Net Income” is divided between:
 - the noncontrolling interest (NCI shareholders) and
 - the controlling interest (the parent company)

	Pinkett, Inc.	Smith, Inc.	Elimination Entries		
			DR	CR	Consolidated
Income Statement					
Sales	\$ 840,000	\$ 300,000			
Less: COGS	(516,000)	(156,000)			
Less: Depreciation Expense	(12,000)	(10,000)			
Less: Other Expenses	(192,000)	(98,000)			
Income from Smith, Inc.	32,400		32,400		
Net Income	\$ 152,400	\$ 36,000	32,400		
NCI in Net Income			3,600		
CI In Net Income	\$ 152,400	\$ 36,000	36,000		



Practice Quiz Question #9

The primary difference in the worksheet when consolidating a less than wholly owned subsidiary is

- a. only the parent's % is consolidated.
- b. extra columns are added to split the subsidiary into two or more pieces.
- c. extra rows are added to divide the net income and net assets of the sub between the parent and NCI shareholders.
- d. There is no difference.



Practice Quiz Question #9 *Solution*

The primary difference in the worksheet when consolidating a less than wholly owned subsidiary is

- a. only the parent's % is consolidated.
- b. extra columns are added to split the subsidiary into two or more pieces.
- c. extra rows are added to divide the net income and net assets of the sub between the parent and NCI shareholders.
- d. There is no difference.



Group Exercise 2: Consolidation < 100%

	Pinkett, Inc.	Smith, Inc.	Elimination Entries		
			DR	CR	Consolidated
Income Statement					
Sales	\$ 840,000	\$ 300,000			
Less: COGS	(516,000)	(156,000)			
Less: Depreciation expense	(12,000)	(10,000)			
Less: Other Expenses	(192,000)	(98,000)			
Income from Smith, Inc.	32,400				
Net Income	\$ 152,400	\$ 36,000			
NCI in Net Income					
CI in Net Income	\$ 152,400	\$ 36,000			
Statement of Retained Earnings					
Balances, 1/1/X8	\$ 124,800	\$ 72,000			
Add: Net Income	152,400	36,000			
Less: Dividends	(108,000)	(12,000)			
Balances, 12/31/X8	\$ 169,200	\$ 96,000			
Balance Sheet					
Cash	\$ 58,800	\$ 48,000			
Accounts Receivable	114,000	66,000			
Inventory	204,000	90,000			
Investment in Sub	140,400				
Property & Equipment	336,000	210,000			
Accumulated Depreciation	(144,000)	(30,000)			
Total Assets	\$ 709,200	\$ 384,000			
Payables & Accruals	\$ 168,000	84,000			
Long-term Debt	360,000	144,000			
Common Stock	12,000	60,000			
Retained Earnings	169,200	96,000			
NCI in Net Assets					
Total Liabilities & Equity	\$ 709,200	384,000			

Assume Pinkett purchases 90% of Smith at \$118,800 at 1/1/X8

REQUIRED

- Prepare an analysis of the investment for 20X8.
- Prepare all consolidation entries as of 12/31/X8.
- Prepare a consolidation worksheet at 12/31/X8.



Group Exercise 2: *Solution*

Book Value Calculations

NCI (10%)	Parent's Investment Account (90%)	Subsidiary's Equity Accounts Common Stock	=	Retained Earnings
Balances, 1/1/X8				
+ Net Income				
- Dividends				
Balances, 12/31/X8				



Group Exercise 2: *Solution*

Book Value Calculations

NCI (10%)	Parent's Investment Account (90%)		Subsidiary's Equity Accounts Common Stock = Retained Earnings	
Balances, 1/1/X8	13,200	118,800	60,000	72,000
+ Net Income	3,600	32,400		36,000
- Dividends	(1,200)	(10,800)		(12,000)
Balances, 12/31/X8	15,600	140,400	60,000	96,000

Basic Elimination Entry

Common Stock
 Retained Earnings, BB
 Income from Smith
 NCI in Net Income
 Dividends Declared
 Investment in Smith
 NCI in Net Assets



Group Exercise 2: *Solution*

Book Value Calculations

NCI (10%)	Parent's Investment Account (90%)	Subsidiary's Equity Accounts			
		Common Stock	=	Retained Earnings	
Balances, 1/1/X8	13,200	118,800	60,000		
+ Net Income		32,400		36,000	
- Dividends	(1,200)	(10,800)			
Balances, 12/31/X8		140,400	60,000	96,000	

Basic Elimination Entry

Common Stock
 Retained Earnings, BB
 Income from Smith
 NCI in Net Income
 Dividends Declared
 Investment in Smith
 NCI in Net Assets



Group Exercise 2: *Solution*

Book Value Calculations

NCI (10%)	Parent's Investment Account (90%)	Subsidiary's Equity Accounts		
		Common Stock	=	Retained Earnings
Balances, 1/1/X8	13,200	118,800	60,000	
+ Net Income		32,400	36,000	
- Dividends	(1,200)	(10,800)		
Balances, 12/31/X8		140,400	60,000	96,000

Basic Elimination Entry

Common Stock	60,000
Retained Earnings, BB	72,000
Income from Smith	32,400
NCI in Net Income	3,600
Dividends Declared	
12,000	
Investment in Smith	



Group Exercise 2: *Solution*

Don't forget the accumulated depreciation elimination entry:

Accumulated Depreciation	20,000	
Buildings and Equipment		20,000

Property, Plant & Equipment	
210,000	

Accumulated Depreciation	
	20,000



Group Exercise 2: *Solution*

Don't forget the accumulated depreciation elimination entry:

Accumulated Depreciation	20,000	
Buildings and Equipment		20,000

Property, Plant & Equipment	
210,000	
	20,00
	0
190,000	

Accumulated Depreciation	
	20,000
20,000	
	0

Shows the Buildings and Equipment “as if” they have been recorded on the Sub’s books as new assets at book value.



Group Exercise 2: Solution

	Pinkett, Inc.	Smith, Inc.	Elimination Entries		
			DR	CR	Consolidated
Income Statement					
Sales	\$ 840,000	\$ 300,000			
Less: COGS	(516,000)	(156,000)			
Less: Depreciation expense	(12,000)	(10,000)			
Less: Other Expenses	(192,000)	(98,000)			
Income from Smith, Inc.	32,400				
Net Income	\$ 152,400	\$ 36,000			
NCI in Net Income					
CI in Net Income	\$ 152,400	\$ 36,000			
Statement of Retained Earnings					
Balances, 1/1/X8	\$ 124,800	\$ 72,000			
Add: Net Income	152,400	36,000			
Less: Dividends	(108,000)	(12,000)			
Balances, 12/31/X8	\$ 169,200	\$ 96,000			
Balance Sheet					
Cash	\$ 58,800	\$ 48,000			
Accounts Receivable	114,000	66,000			
Inventory	204,000	90,000			
Investment in Sub	140,400				
Property & Equipment	336,000	210,000			
Accumulated Depreciation	(144,000)	(30,000)			
Total Assets	\$ 709,200	\$ 384,000			
Payables & Accruals	\$ 168,000	84,000			
Long-term Debt	360,000	144,000			
Common Stock	12,000	60,000			
Retained Earnings	169,200	96,000			
NCI in Net Assets					
Total Liabilities & Equity	\$ 709,200	384,000			



Group Exercise 2: Solution

	Pinkett, Inc.	Smith, Inc.	Elimination Entries		Consolidated
			DR	CR	
Income Statement					
Sales	\$ 840,000	\$ 300,000			
Less: COGS	(516,000)	(156,000)			
Less: Depreciation Expense	(12,000)	(10,000)			
Less: Other Expenses	(192,000)	(98,000)			
Income from Smith, Inc.	32,400		32,400		
Net Income	\$ 152,400	\$ 36,000	32,400	0	
NCI in Net Income			3,600		
CI in Net Income	\$ 152,400	\$ 36,000	36,000	0	
Statement of Retained Earnings					
Balances, 1/1/X8	\$ 124,800	\$ 72,000	72,000		
Add: Net Income	152,400	36,000	36,000	0	
Less: Dividends	(108,000)	(12,000)		12,000	
Balances, 12/31/X8	\$ 169,200	\$ 96,000	108,000	12,000	
Balance Sheet					
Cash	\$ 58,800	\$ 48,000			
Accounts Receivable	114,000	66,000			
Inventory	204,000	90,000			
Investment in Sub	140,400			140,400	
Property & Equipment	336,000	210,000		20,000	
Accumulated Depreciation	(144,000)	(30,000)	20,000		
Total Assets	\$ 709,200	\$ 384,000	20,000	160,400	
Payables & Accruals	\$ 168,000	84,000			
Long-term Debt	360,000	144,000			
Common Stock	12,000	60,000	60,000		
Retained Earnings	169,200	96,000	108,000	12,000	
NCI in Net Assets				15,600	
Total Liabilities & Equity	\$ 709,200	384,000	168,000	27,600	



Group Exercise 2: Solution

	Pinkett, Inc.	Smith, Inc.	Elimination Entries		Consolidated
			DR	CR	
Income Statement					
Sales	\$ 840,000	\$ 300,000			\$ 1,140,000
Less: COGS	(516,000)	(156,000)			(672,000)
Less: Depreciation Expense	(12,000)	(10,000)			(22,000)
Less: Other Expenses	(192,000)	(98,000)			(290,000)
Income from Smith, Inc.	32,400		32,400		
Net Income	\$ 152,400	\$ 36,000	32,400	0	\$ 156,000
NCI in Net Income			3,600		(3,600)
CI in Net Income	\$ 152,400	\$ 36,000	36,000	0	\$ 152,400
Statement of Retained Earnings					
Balances, 1/1/X8	\$ 124,800	\$ 72,000	72,000		\$ 124,800
Add: Net Income	152,400	36,000	36,000	0	152,400
Less: Dividends	(108,000)	(12,000)		12,000	(108,000)
Balances, 12/31/X8	\$ 169,200	\$ 96,000	108,000	12,000	\$ 169,200
Balance Sheet					
Cash	\$ 58,800	\$ 48,000			\$ 106,800
Accounts Receivable	114,000	66,000			180,000
Inventory	204,000	90,000			294,000
Investment in Sub	140,400			140,400	
Property & Equipment	336,000	210,000		20,000	526,000
Accumulated Depreciation	(144,000)	(30,000)	20,000		(154,000)
Total Assets	\$ 709,200	\$ 384,000		140,400	\$ 952,800
Payables & Accruals	\$ 168,000	84,000			\$ 252,000
Long-term Debt	360,000	144,000			504,000
Common Stock	12,000	60,000	60,000		12,000
Retained Earnings	169,200	96,000	108,000	12,000	169,200
NCI in Net Assets				15,600	15,600
Total Liabilities & Equity	\$ 709,200	384,000	168,000	27,600	\$ 952,800



Appendix 3B

Understand and explain the differences in theories of consolidation.



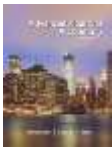
Different Approaches to Consolidation

- ◆ Theories that might serve as a basis for preparing consolidated financial statements:
 - Proprietary theory
 - Parent company theory
 - Entity theory
- ◆ With the issuance of **ASC 805**, the FASB's approach to consolidation now focuses on the entity theory.



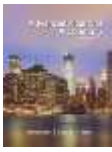
Proprietary Theory

- ◆ Views the firm as an extension of its owners.
- ◆ Assets and liabilities of the firm are considered to be those of the owners.
- ◆ Results in a pro rata consolidation where the parent consolidates only its proportionate share of a less-than-wholly owned subsidiary's assets, liabilities, revenues, and expenses.



Parent Company Theory

- ◆ Recognizes that although the parent does not have direct ownership or responsibility, it has the ability to exercise effective control over all of the subsidiary's assets and liabilities, not simply a proportionate share.
- ◆ Separate recognition is given, in the consolidated financial statements, to the noncontrolling interest's claim on the net assets and earnings of the subsidiary.



Entity Theory

- ◆ Focuses on the firm as a separate economic entity rather than on the ownership rights of the shareholders.
- ◆ Emphasis is on the consolidated entity itself, with the controlling and noncontrolling shareholders viewed as two separate groups, each having an equity in the consolidated entity.



Recognition of Subsidiary Income

Element	Theory					
	Proprietary		Parent Company		Entity	
	Parent's share	Noncontrolling interest's share	Parent's share	Noncontrolling interest's share	Parent's share	Noncontrolling interest's share
Revenues						
Expenses						
Net income						



Portion included in consolidated financial statements.

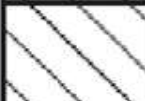
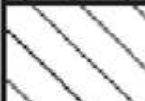
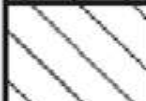
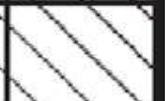
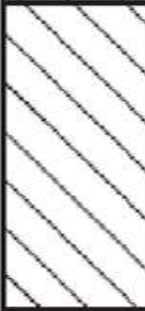
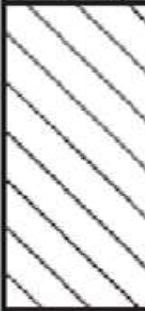


Entity Theory

- ◆ All of the assets, liabilities, revenues, and expenses of a less-than-wholly owned subsidiary are included in the consolidated financial statements, with no special treatment accorded either the controlling or noncontrolling interest.



Reporting Net Assets of the Subsidiary

Element	Theory					
	Proprietary		Parent Company		Entity	
	Parent's share	Noncontrolling interest's share	Parent's share	Noncontrolling interest's share	Parent's share	Noncontrolling interest's share
Goodwill						
Fair value increment						
Book value						
 Portion included in consolidated financial statements.						



Current Practice

- ◆ **IFRS 3** consolidation follows largely an entity-theory approach.



Practice Quiz Question #1

- ◆ On January 3, 20X9, Redding Company acquired 80 percent of Frazer Corporation's common stock for \$344,000 in cash. At the acquisition date, the book values and fair values of Frazer's assets and liabilities were equal, and the fair value of the NCI was equal to 20 percent of the total book value of Frazer. The stockholders' equity accounts of the two companies at the acquisition date are:

	Redding	Frazer
Common Stock (\$5 par value)	\$500,000	\$200,000
Additional Paid-In Capital	300,000	80,000
Retained Earnings	350,000	150,000
Total Stockholders' Equity	<u>\$1,150,000</u>	<u>\$430,000</u>

- ◆ NCI was assigned income of \$11,000 in Redding's consolidated income statement for 20X9. What amount will be assigned to the NCI on January 3, 20X9, in the consolidated balance sheet?



Practice Quiz Question #1

- ◆ On January 3, 20X9, Redding Company acquired 80 percent of Frazer Corporation's common stock for \$344,000 in cash. At the acquisition date, the book values and fair values of Frazer's assets and liabilities were equal, and the fair value of the NCI was equal to 20 percent of the total book value of Frazer. The stockholders' equity accounts of the two companies at the acquisition date are:

	Redding	Frazer
Common Stock (\$5 par value)	\$500,000	\$200,000
Additional Paid-In Capital	300,000	80,000
Retained Earnings	350,000	150,000
Total Stockholders' Equity	<u>\$1,150,000</u>	<u>\$430,000</u>

- ◆ NCI was assigned income of \$11,000 in Redding's consolidated income statement for 20X9. What amount will be assigned to the NCI on January 3, 20X9, in the consolidated balance sheet? **\$86,000**



Practice Quiz Question #2

- ◆ On January 3, 20X9, Redding Company acquired 80 percent of Frazer Corporation's common stock for \$344,000 in cash. At the acquisition date, the book values and fair values of Frazer's assets and liabilities were equal, and the fair value of the NCI was equal to 20 percent of the total book value of Frazer. The stockholders' equity accounts of the two companies at the acquisition date are:

	Redding	Frazer
Common Stock (\$5 par value)	\$500,000	\$200,000
Additional Paid-In Capital	300,000	80,000
Retained Earnings	350,000	150,000
Total Stockholders' Equity	<u>\$1,150,000</u>	<u>\$430,000</u>

- ◆ What will be the amount of net income reported by Frazer Corporation in 20X9?



Practice Quiz Question #2

- ◆ On January 3, 20X9, Redding Company acquired 80 percent of Frazer Corporation's common stock for \$344,000 in cash. At the acquisition date, the book values and fair values of Frazer's assets and liabilities were equal, and the fair value of the NCI was equal to 20 percent of the total book value of Frazer. The stockholders' equity accounts of the two companies at the acquisition date are:

	Redding	Frazer
Common Stock (\$5 par value)	\$500,000	\$200,000
Additional Paid-In Capital	300,000	80,000
Retained Earnings	350,000	150,000
Total Stockholders' Equity	<u>\$1,150,000</u>	<u>\$430,000</u>

- ◆ What will be the amount of net income reported by Frazer Corporation in 20X9? **\$55,000**



Practice Quiz Question #3

On Jan 1, 20X8, Wilhelm Corporation acquired 90 percent of Kaiser Company's voting stock, at underlying book value. The fair value of the noncontrolling interest was equal to 10 percent of the book value of Kaiser at that date. Wilhelm uses the equity method in accounting for its ownership of Kaiser. On Dec 31, 20X9, the trial balances of the two companies are as follows:

Item	Wilhelm Corporation		Kaiser Company	
	Debit	Credit	Debit	Credit
Current Assets	\$200,000		\$140,000	
Depreciable Assets	350,000		250,000	
Investment in Kaiser Company Stock	162,000			
Depreciation Expense	27,000		10,000	
Other Expenses	95,000		60,000	
Dividends Declared	20,000		10,000	
Accumulated Depreciation		\$118,000		\$80,000
Current Liabilities		100,000		80,000
Long-Term Debt		100,000		50,000
Common Stock		100,000		50,000
Retained Earnings		150,000		100,000
Sales		250,000		110,000
Income from Subsidiary		36,000		
	<u>\$854,000</u>	<u>\$854,000</u>	<u>\$470,000</u>	<u>\$470,000</u>

what amount would be reported as total assets in the consolidated balance sheet at Dec 31, 20X9?



Practice Quiz Question #3

On Jan 1, 20X8, Wilhelm Corporation acquired 90 percent of Kaiser Company's voting stock, at underlying book value. The fair value of the noncontrolling interest was equal to 10 percent of the book value of Kaiser at that date. Wilhelm uses the equity method in accounting for its ownership of Kaiser. On Dec 31, 20X9, the trial balances of the two companies are as follows:

Item	Wilhelm Corporation		Kaiser Company	
	Debit	Credit	Debit	Credit
Current Assets	\$200,000		\$140,000	
Depreciable Assets	350,000		250,000	
Investment in Kaiser Company Stock	162,000			
Depreciation Expense	27,000		10,000	
Other Expenses	95,000		60,000	
Dividends Declared	20,000		10,000	
Accumulated Depreciation		\$118,000		\$80,000
Current Liabilities		100,000		80,000
Long-Term Debt		100,000		50,000
Common Stock		100,000		50,000
Retained Earnings		150,000		100,000
Sales		250,000		110,000
Income from Subsidiary		36,000		
	<u>\$854,000</u>	<u>\$854,000</u>	<u>\$470,000</u>	<u>\$470,000</u>

what amount would be reported as total liabilities in the consolidated balance sheet at Dec 31, 20X9?



Practice Quiz Question #3

On Jan 1, 20X8, Wilhelm Corporation acquired 90 percent of Kaiser Company's voting stock, at underlying book value. The fair value of the noncontrolling interest was equal to 10 percent of the book value of Kaiser at that date. Wilhelm uses the equity method in accounting for its ownership of Kaiser. On Dec 31, 20X9, the trial balances of the two companies are as follows:

Item	Wilhelm Corporation		Kaiser Company	
	Debit	Credit	Debit	Credit
Current Assets	\$200,000		\$140,000	
Depreciable Assets	350,000		250,000	
Investment in Kaiser Company Stock	162,000			
Depreciation Expense	27,000		10,000	
Other Expenses	95,000		60,000	
Dividends Declared	20,000		10,000	
Accumulated Depreciation		\$118,000		\$80,000
Current Liabilities		100,000		80,000
Long-Term Debt		100,000		50,000
Common Stock		100,000		50,000
Retained Earnings		150,000		100,000
Sales		250,000		110,000
Income from Subsidiary		36,000		
	<u>\$854,000</u>	<u>\$854,000</u>	<u>\$470,000</u>	<u>\$470,000</u>

what amount would be reported as retained earnings in the consolidated balance sheet at Dec 31, 20X9?



Practice Quiz Question #3

Sub	Parent
110,000	250000
10,000	27000
60,000	95000
40,000	128,000

CS		50,000	
RE		100,000	
income to NCI		36,000	
income fr sub		4,000	
	dividend		10,000
	NCI		18,000
	investment		162,000

Parent	Sub	console
200,000	140,000	340,000
350,000	250,000	600,000
(118,000)	(80,000)	(198,000)
162,000		
594,000	310,000	742,000
100,000	80,000	180,000
100,000	50,000	150,000
100,000	50,000	100,000
294,000	130,000	294,000
		18,000
594,000	310,000	742,000



Practice Quiz Question #3

On Jan 1, 20X8, Wilhelm Corporation acquired 90 percent of Kaiser Company's voting stock, at underlying book value. The fair value of the noncontrolling interest was equal to 10 percent of the book value of Kaiser at that date. Wilhelm uses the equity method in accounting for its ownership of Kaiser. On Dec 31, 20X9, the trial balances of the two companies are as follows:

Item	Wilhelm Corporation		Kaiser Company	
	Debit	Credit	Debit	Credit
Current Assets	\$200,000		\$140,000	
Depreciable Assets	350,000		250,000	
Investment in Kaiser Company Stock	162,000			
Depreciation Expense	27,000		10,000	
Other Expenses	95,000		60,000	
Dividends Declared	20,000		10,000	
Accumulated Depreciation		\$118,000		\$80,000
Current Liabilities		100,000		80,000
Long-Term Debt		100,000		50,000
Common Stock		100,000		50,000
Retained Earnings		150,000		100,000
Sales		250,000		110,000
Income from Subsidiary		36,000		
	<u>\$854,000</u>	<u>\$854,000</u>	<u>\$470,000</u>	<u>\$470,000</u>

what amount would be reported as NCI in the consolidated balance sheet at Dec 31, 20X9?